

25STCV28239 25STCV28239

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Case Number: 25STCV28239 Hearing Date: June 24, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 3:11 PM on June 22, 2026.

Notice

of intent to appear is REQUIRED pursuant to California Rule of Court

3.1308(a)(1). The Court does not desire

oral argument on the motion addressed herein.

As

required by Rule 3.1308(a)(1), any party seeking oral argument must notify ALL

OTHER PARTIES and the staff of Department 734 by 4:00 p.m. on June 23, 2026.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to

Department 734 may delay the Court's receipt of notice, so telephonic notice to

213-830-0776 should be reserved for situations where parties are unable to give

notice by email.

Per

Rule of Court 3.1308, the Court may not entertain oral argument if notice of intention to appear is not given.

Plaintiff

alleges that Defendant homeowners association and its board members failed to enforce the Covenants, Conditions and Restrictions, Bylaws and Rules and Regulations of Defendant Laurel Villas against another owner who engaged in criminal conduct toward Plaintiff.

Defendant

HOA Premier Management LLC demurs to the Complaint and moves to strike portions thereof.

Defendants Laurel Villas Condominium Owners Association,

Barry Frediani, Jose Ramos and Nichole Oeuvray move to seal documents in connection with Defendants Motion for an Order Requiring Security pursuant to Corporations Code section 800(c), scheduled to be heard on June 24, 2026.

Defendants Laurel Villas Condominium Owners Association,

Barry Frediani, Jose Ramos and Nichole Oeuvray move for an order requiring Plaintiff to post a security bond pursuant to Corp. Code § 800(c).

TENTATIVE RULING

Defendant HOA Premier Management LLC's demurrer to all

causes of action asserted against Defendant HOA Premier

Management LLC on the ground that they are derivative causes of action is OVERRULED.

The demurrer

to the first, third, fourth, fifth and sixth causes of action is SUSTAINED with

leave to amend.

The motion

to strike is MOOT as to Paragraph 62: "reasonable attorneys' fees" and Paragraph

71: "reasonable attorneys' fees" by virtue of the ruling on the demurrer.

The motion to strike is GRANTED with leave to amend

as to Prayer for Relief paragraph 4 (punitive and exemplary damages) and Prayer

for Relief paragraph 5 (reasonable attorney fees).

Plaintiff is given 30 days' leave

to amend.

Defendants Laurel Villas Condominium Owners Association,

Barry Frediani, Jose Ramos and Nichole Oeuvray's motion to seal documents in connection

with Defendants Motion for an Order Requiring Security pursuant to Corporations

Code section 800(c) is GRANTED.

Defendants Laurel Villas Condominium Owners Association,

Barry Frediani, Jose Ramos and Nichole Oeuvray's motion for an order requiring Plaintiff

to post a security bond pursuant to Corp. Code § 800(c) is DENIED.

ANALYSIS

Demurrer

Meet and Confer

The

Declaration of Matthew A. Trejo reflects that Defendant's counsel satisfied the

meet and confer requirement set forth in Civ. Proc. Code, § 430.41.

Discussion

The Court has

reviewed the moving, and opposing briefs filed by the parties. The Court has only

received a reply brief as to the motion to furnish security. In any event, the Court

only addresses the points which the Court deems to be material to the disposition

of this motion.

Defendant

HOA Premier Management LLC demurs to the Complaint as follows:

1. First

Cause of Action (Breach of Governing Documents); Third Cause of Action (Breach of

Fiduciary Duty); Fourth Cause of Action (Intentional/Negligent Infliction of Emotional

Distress); Fifth Cause of Action (Negligence); Sixth Cause of Action (Premises Liability).

A. Re:

Derivative Claims.

Defendant argues that Plaintiff has

failed to allege compliance with Corporations Code Section 800(b)(2).

Plaintiff argues that the gravamen of

her claims is direct because they are based on personal injury she suffered, and

is unique and distinct from any harm to the condominium association or its members

collectively.

Plaintiff also argues that she has sufficiently

pled demand futility. Plaintiff alleges that she “pleaded with Defendants to raise

awareness about this issue at a board meeting” and to take action against Nissinen,

but Defendants “did not discuss the incident at a Board meeting, and silenced Plaintiff

when she tried to discuss the incident during a meeting.” The Board actively refused

to consider Plaintiffs requests and silenced her attempts to raise the issues—not

just once, but countless times, illustrating complete disinterest and disregard

in their “hands off” approach to approach to management.

Court’s analysis

“An action is deemed derivative ““if the

gravamen of the complaint is injury to the corporation, or to the whole body of

its stock and property without any severance or distribution among individual holders,

or it seeks to recover assets for the corporation or to prevent the dissipation

of its assets.” [Citation.]” (Ibid., fn. omitted.) “A personal claim, in

contrast, asserts a right against the corporation which the shareholder possesses as an individual apart from the corporate entity: 'If the injury is not incidental to an injury to the corporation, an individual cause of action exists.' [Citation.]" (Citation omitted.) "[T]he principles of derivative lawsuits applicable to corporations likewise apply to ... limited liability compan[ies]" (Citation omitted.)

(Sprengel v. Zbylut (2019) 40 Cal. App.5th 1028, 1040.)

Here, the Complaint

alleges:

44. As a proximate result of Defendants'

breach of duties and violations of the law, Plaintiff has suffered injury to

her right and benefits of being a member of Laurel Villas, including the loss of

the use and enjoyment of her home, humiliation, embarrassment, injury to reputation,

general fear for her personal health, safety, and welfare for Plaintiff and

her family, invited guests, invitees, and visitors, worry, concern, and insecurity

caused by Plaintiffs perception of risk with respect to Plaintiffs home as a financial

investment, severe mental and emotional distress, and reasonable attorneys'

fees and costs, in an amount to be proven at trial.

(Complaint, ¶ 44 [bold emphasis added].)

The foregoing

alleges injury to Plaintiff as an individual, not injury to the Association as a

whole. (See also Complaint, ¶58 (Plaintiff has been damaged in that her use and enjoyment of the Subject Property 8 has been severely impacted.; ¶ 62 (loss of use and enjoyment, emotional distress); ¶ 66 (loss of use and enjoyment); ¶ 71 (loss of use and enjoyment, emotional distress).)

Throughout the

Complaint, Plaintiff alleges that Defendants' failure to enforce the Covenant, Conditions and Restrictions ("CC&Rs"), Bylaws and Rules and Regulations of Defendant Laurel Villas (collectively herein "Governing Documents")(Complaint, ¶ 2), allowed Plaintiff's neighbor, Tina Nissinen, to harass, threaten, and attack Plaintiff on the premises.

Defendant's derivative claim argument

is not persuasive. Plaintiff need not allege compliance with Corporations Code Section 800(b)(2).

The demurrer

to all causes of action asserted against Defendant HOA

Premier Management LLC on the ground that they are derivative causes of action is

OVERRULED.

2. First

Cause of Action (Breach of Governing Documents).

Defendant

argues that as the property manager, Premier had no authority to enforce the governing

documents and cannot breach the governing documents (as Premier is not a party to the governing documents).

Plaintiff

argues that, as the property manager with authority to implement and enforce HOA policies, Premier assumed the duty to comply with the governing documents in its management activities. The governing documents establish the framework within which Premier must operate, and its failure to act in accordance with these documents constitutes a breach of its management duties. The governing documents provide various enforcement mechanisms, including warning letters and fines. Premier's failure to utilize any of these available tools despite repeated incidents and Plaintiff's requests demonstrates unreasonable conduct that exceeds the bounds of legitimate discretion.

Generally, the

absence of a signature on a written agreement means there is no breach of contract claim against the non-signatory. (See *Andrews Mobile Aire Estates* (2005) 125 Cal.App.4th 578, 585, fn. 5.)

There was no direct contractual relationship between Henry and

Underwriters from which either a breach of the covenant of good faith and fair dealing or a breach of contract action could properly spring. (Citations omitted.)

(*Henry v. Associated*

Indem. Corp. (1990) 217 Cal.App.3d 1405, 1416-17.)

Here, the Complaint alleges at

¶ 39:

39. At all relevant times, as manager of

Laurel Villas, Defendant Premier owed a duty to each of Laurel Villas' officers,

directors, and members including but not limited to Plaintiff, to comply with the

requirements of Laurel Villas' Governing Documents, and a duty to exercise due care

for the safety of the members and residents of Laurel Villas in those areas under

Defendant Premier's control.

(Complaint, ¶ 39.)

Plaintiff

must allege that demurring Defendant HOA Premier Management LLC was a party to the

Governing Documents or had express contractual obligations under the Governing Documents

which constituted a contractual duty owed to Plaintiff.

The

demurrer to the first cause of action is SUSTAINED with leave to amend.

3. Third

Cause of Action (Breach of Fiduciary Duty.

Defendant

argues that as property manager for an HOA, Premier does not owe a fiduciary duty

to the HOA's members. (See *Berryman v. Merit Prop. Mgmt. Inc.* (2007), 152

Cal.App.4th 1544, 1558 [finding no support for contention that HOA's property management company owed fiduciary duty to individual homeowners].)

Plaintiff

argues that Premier's conduct here demonstrates a special relationship that gives

rise to fiduciary obligations. This special relationship and the trust placed in

Premier to protect residents creates fiduciary duties that extend beyond mere contractual

obligations. Premier was entrusted with the safety and security of residents and

had knowledge of ongoing threats to Plaintiffs safety, yet took no action. There

are several emails from Plaintiff to Premier about the safety concerns she has.

The response Plaintiff received from Premier was that she should be quiet and not

bring up the issues during board meetings. The utter disregard and failure to act

constitutes Premier's breach of fiduciary duty.

Plaintiffs' next claim is for breach

of fiduciary duty. An association has a fiduciary relationship with its members.

(Citation omitted.) In an attempt to impute the associations' fiduciary duty to

Merit, plaintiffs allege an agency relationship. "Associations consented to and delegated to MERIT as

their agent, and MERIT assumed responsibility for fulfilling such statutory and

fiduciary duties."

The allegation of a fiduciary relationship

must be supported by either a contract, or a relationship that imposes it as a matter of law. (Citation omitted.) The mere allegation that Merit assumed fiduciary duties to the individual homeowners is a legal conclusion, not a well-pled fact. Indeed, it appears from the SAC that Merit's relationship with individual homeowners was merely commercial. Merit performed a service and charged a fee; nothing more is apparent.

(Berryman v. Merit Property Management, Inc. (2007) 152 Cal.App.4th 1544, 1558.)

The question on this appeal is whether a nonfiduciary defendant can be liable for conspiring with a fiduciary defendant to breach the fiduciary's duty to the plaintiff. The answer, in our view, is sometimes yes and sometimes no. When the nonfiduciary is an agent or employee of the fiduciary, the nonfiduciary is entitled to the benefit of the "agent's immunity rule" (and thus not liable on a conspiracy theory) unless the nonfiduciary was acting for its own benefit. If the nonfiduciary is neither an employee nor agent of the fiduciary, it is not liable to the plaintiff on a conspiracy theory because a nonfiduciary is legally incapable of committing the tort underlying the claim of conspiracy (breach of fiduciary duty).

Since the answer in this case is "no," we affirm the order of dismissal that is

the subject of this appeal.

(Everest Investors 8 v. Whitehall Real Estate Partnership

Xi (2002) 100 Cal.App.4th 1102, 1104.)

Here,

the Complaint alleges that the homeowner's association owes a fiduciary duty to

its members. (Complaint, ¶ 55.) However, the Complaint does not allege why demurring

Defendant Premier—alleged to be the manager of the property (Complaint, ¶ 7)—owes

a fiduciary duty to Plaintiff. Plaintiff must so factually allege.

The

demurrer to the third cause of action is SUSTAINED with leave to amend.

4.

Fourth Cause of Action (Intentional/Negligent

Infliction of Emotional Distress);

Defendant

argues that negligent infliction of emotional distress is not an independent cause

of action.

However, this

cause of action also alleges intentional infliction of emotional distress. A

demurrer does not lie to only part of a cause of action or a particular type of

damage or remedy. (See Kong v. City of Hawaiian

Gardens Redevelopment Agency (2003) 108 Cal.App.4th 1028, 1046; PH II, Inc. v. Superior Court (Ibershof)

(1995) 33 Cal.App.4th 1680, 1682.)

The proper procedure is to bring a motion to strike the substantively defective allegation. (Id. at 1682-83.)

Defendant

also argues that the cause of action is premised on the same allegations as Plaintiff's first cause of action for breach of the governing documents and fails for the same reasons.

However, the

first cause of action is contract based, whereas this cause of action is tort-based.

This argument is not persuasive.

Defendant

also argues that, to the extent this cause of action is based upon alleged incidents that occurred in 2019, 2022 and 2024, there are no factual allegations that Premier committed any tortious conduct against Plaintiff which would give rise to liability for those torts.

Plaintiff

argues that Plaintiff's allegations satisfy the outrageous conduct standard. Premier's conduct in repeatedly ignoring Plaintiff's pleas for protection, silencing her attempts to raise safety concerns, and failing to take any action despite knowledge of escalating

violence demonstrates extreme indifference to Plaintiffs safety. The systematic failure to protect a resident from known and escalating threats, particularly after a felony assault, exceeds the bounds of conduct tolerated in a civilized community.

[B]ecause the only injury Wilson claimed in her lawsuit was

emotional distress, she was required to show that Edison's breach threatened physical

injury to her. (See *Potter v. Firestone Tire & Rubber Co.* (1993) 6 Cal.4th

965, 984–985 [25 Cal. Rptr. 2d 550, 863 P.2d 795] (Potter) “[T]here is no

independent tort of negligent infliction of emotional distress. [Citation.] The

tort is negligence, a cause of action in which a duty to the plaintiff is an essential

element. [Citations.] That duty may be imposed by law, be assumed by the defendant,

or exist by virtue of a special relationship.”.) “[U]nless the defendant has assumed a duty

to plaintiff in which the emotional condition of the plaintiff is an object,

recovery is available only if the emotional distress arises out of the defendant's

breach of some other legal duty and the emotional distress is proximately caused

by that breach of duty. Even then, with rare exceptions, a breach of the duty must

threaten physical injury, not simply damage to property or financial interests.”

(Potter, *supra*, 6 Cal.4th at p. 985.) Thus, at the very least, there could

not have been a breach of duty during the period when no shocks were felt on the

property.

(Wilson v. Southern California

Edison Co. (2015) 234 Cal.App.4th 123, 155-156 [bold emphasis added].)

“The elements of

the tort of intentional infliction of emotional distress are: ‘ “(1) extreme and

outrageous conduct by the defendant with the intention of causing, or reckless disregard

of the probability of causing, emotional distress; (2) the plaintiff’s suffering

severe or extreme emotional distress; and (3) actual and proximate causation of

the emotional distress by the defendant’s outrageous conduct. ...” Conduct to be outrageous

must be so extreme as to exceed all bounds of that usually tolerated in a civilized

community.’ [Citation.]” (Citation omitted.) “It is not enough that the conduct

be intentional and outrageous. It must

be conduct directed at the plaintiff, or occur in the presence of a plaintiff of

whom the defendant is aware.” (Ibid.)

(Catsouras v. Department of California

Highway Patrol (2010) 181 Cal.App.4th 856, 874-75.)

Intentional

infliction of emotional

distress requires conduct which is especially calculated to cause and does cause the claimant mental

distress of a very serious nature. (Ibid.)

Although it was evident that defendants had caused plaintiffs untold distress, they

had not acted with the purpose of causing them emotional distress. (Ibid.) The misconduct had been directed primarily at the decedent minor

with plaintiffs looking on as helpless bystanders. (*Id.*, at pp. 172-173.) The fact that defendants' conduct had not been especially calculated to cause plaintiffs' distress was fatal to their claim.

(*Coon v. Joseph* (1987) 192 Cal.App.3d 1269, 1273 [*italics in original bold emphasis added*].)

Here,

Plaintiff has failed to allege circumstances whereby demurring Defendant Premier's failure to enforce the Governing Documents was especially calculated to cause Plaintiff emotional distress, especially when the primary actor was Nissinen. Nor has Plaintiff alleged factual instances where Plaintiff's emotional condition was the object of Defendant Premier's duty.

The

demurrer to the fourth cause of action is SUSTAINED with leave to amend.

5. Fifth

Cause of Action (Negligence)

Defendant

argues that the cause of action is premised on the same allegations as Plaintiff's first cause of action for breach of the governing documents and fails for the same reasons.

Again, the

first cause of action is contract based, whereas this cause of action is tort-based.

This argument is not persuasive.

Defendant

also argues that, to the extent this cause of action is based upon alleged incidents

that occurred in 2019, 2022 and 2024, there are no factual allegations that Premier

committed any tortious conduct against Plaintiff which would give rise to liability

for those torts.

Plaintiff

argues that Premier had a duty to exercise reasonable care in managing the HOA and

protecting residents from foreseeable harm. Premier had actual knowledge of Nissinen's

criminal conduct and the ongoing threat she posed to Plaintiff. The failure to take

reasonable steps to address this known danger, including enforcement of governing

documents and implementation of protective measures, constitutes negligence.

Although "[a]s

a general principle, a 'defendant owes a duty of care to all persons who are foreseeably

endangered by his conduct, with respect to all risks which make the conduct unreasonably

dangerous' " (citations omitted), it also is well established that, as a general

matter, there is no duty to act to protect others from the conduct of third parties.

(Citations omitted.) But as explained, post, courts have recognized exceptions to the general no-duty-to-protect rule, one of which—the "special relationship" doctrine—is dispositive in this case. A defendant may owe an affirmative duty to protect another from the conduct of third parties if he or she has a "special relationship" with the other person. (Citations omitted.) Courts have found such a special relationship in cases involving the relationship between business proprietors such as

shopping centers, restaurants, and bars, and their tenants, patrons, or invitees. Accordingly, in *Ann M.*, we recognized as “well established” the proposition that a proprietor’s “general duty of maintenance, which is owed to tenants and patrons, ... include[s] the duty to take reasonable steps to secure common areas against foreseeable criminal acts of third parties that are likely to occur in the absence of such precautionary measures.” (Citations omitted.)

(*Delgado v. Trax Bar & Grill*

(2005) 36 Cal. 4th 224, 234-236.)

Here, Plaintiff

has not, but may, plead facts giving rise to a special relationship between demurring

Defendant Premier and Plaintiff which gave rise to a duty to protect Plaintiff from

the damages she claims.

The demurrer

to the fifth cause of action is SUSTAINED with leave to amend.

6. Sixth

Cause of Action (Premises Liability).

Defendant argues that the only incident

that could potentially give rise to premises liability occurred in 2022, and Plaintiff’s

claim based on that incident is time-barred.

Plaintiff argues that this cause of

action is based on Premier’s ongoing duty to maintain safe common areas and protect

residents from known dangers. While the 2022 incident occurred in Plaintiff’s unit,

it was the culmination of Premier’s failure to address known threats in the common

areas for years. The duty to protect residents extends beyond the physical boundaries

of common areas when the HOA has knowledge of threats that originate from its failure to enforce governing documents.

Plaintiff also argues that Premier's

ongoing failure to enforce governing documents and protect residents constitutes

a continuing violation, and the 2024 incident demonstrates that Premier's failures

continued within the limitations period, making all related claims timely. Additionally,

the full extent of Premier's systematic failures and their connection to Plaintiff's

injuries may not have been discoverable until the pattern of conduct became clear.

[A] defendant cannot be held liable for a defective or dangerous condition

of property which defendant did not own, possess, or control. (Citation omitted.) "The duty to take affirmative action

for the protection of individuals coming onto one's property 'is grounded in the

possession of the premises and the attendant right to control and manage the premises.'

[Citation.] Without the 'crucial element' of control over the subject premises [citation],

no duty to exercise reasonable care to prevent injury on such property can be found."

(Gray v. America West Airlines, Inc. (1989) 209 Cal.App.3d 76, 81 [256

Cal.Rptr. 877].)

(Hamilton v. Gage Bowl, Inc.

(1992) 6 Cal.App.4th 1706, 1711.)

The Complaint alleges at ¶ 70:

70. Defendants had actual knowledge of this

matter for years, yet failed to exercise reasonable care to properly manage and

oversee the common areas, or otherwise protect residents, such as

Plaintiff, from danger.

(Complaint, ¶ 70 [bold emphasis added].)

As to the September

29, 2022 incident that occurred in the elevator and Plaintiff's unit, (Complaint,

¶¶ 22 – 26) the two-year statute of limitations set forth in Code Civ. Proc. § 335.1

would apply to this cause of action for personal injury. This action was not filed until September 29,

2025.

After the September 29, 2022 incident

occurred, Plaintiff allege:

Contrary to the criminal protective order,

and on September 10, 2024, she barreled towards Plaintiff with heavy shopping bags

in front of 1539 N. Laurel Ave., with a threatening expression, not once changing

her direction upon seeing Plaintiff. As a result of Nissinen's threatening behavior,

Plaintiff contacted the police and during the next hearing for Case No. 25 BA509521

the Judge ordered Nissinen to stay away from the building-1539 N. Laurel Ave.-where

she resided.

(Complaint, ¶ 27.)

Plaintiff does

not allege that she suffered personal injury from this incident, and thus, there is no basis for premises liability based on this incident. Nor is there a basis to find application of the continuing violation doctrine based on the September 10, 2024 incident, which was two years after the September 29, 2022 incident.

Allegations of a pattern of reasonably frequent and similar acts may, in a given case, justify treating the acts as an indivisible course of conduct actionable in its entirety, notwithstanding that the conduct occurred partially outside and partially inside the limitations period. (Citations omitted.)

(Aryeh v. Canon Business Solutions, Inc. (2013) 55 Cal.4th 1185, 1198.)

As

pled, the sixth cause of action is time-barred.

The demurrer

to the sixth cause of action is SUSTAINED with leave to amend.

Motion To Strike

Meet and Confer

The

Declaration of Matthew A. Trejo reflects that Defendant's counsel satisfied the meet and confer requirement set forth in Civ. Proc. Code, § 435.5.

Discussion

Defendant moves to strike the following portions of

the Complaint:

1. The following language from Paragraph 62: “reasonable attorneys’ fees”;

MOOT by virtue of the ruling on the demurrer to the fifth cause of action.

2. The following language from Paragraph 71: “reasonable attorneys’ fees”;

MOOT by virtue of the ruling on the demurrer to the sixth cause of action.

3. Prayer for Relief paragraph 4 (punitive and exemplary damages);

GRANTED with leave to amend.

Given the ruling on the demurrer, there are no viable actions against moving Defendant Premier to support a claim for punitive damages.

4. Prayer for Relief paragraph 5 (reasonable attorney fees);

GRANTED with leave to amend.

“[A]s a general rule, attorney fees

are not recoverable as costs unless they are authorized by statute or agreement.”

(People ex rel. Dept. of Corporations v. Speedee

Oil Change Systems, Inc. (2007) 147 Cal.App.4th 424, 429.)

Plaintiff is given 30 days' leave to

amend.

Motion To Seal

Discussion

Defendants Laurel Vials Condominium Owners Association,

Barry Frediani, Jose Ramos and Nichole Oeuvray (collectively, "the HOA Defendants")

move to seal documents in connection with Defendants Motion for an Order Requiring

Security pursuant to Corporations Code section 800(c), scheduled to be heard on

June 24, 2026.

A motion seeking an order sealing the record

must be accompanied by "a declaration containing facts sufficient

to justify the sealing." (Calif.

Rules of Court, Rule 2.551(b)(1)[bold emphasis and underlining added].) Per CRC Rule 2.550(d),

a court may order that a record be filed under seal "only if it expressly finds facts that establish" all of the following:

(1) There exists an overriding interest that overcomes

the right of public access to the record;

(2) The overriding interest supports sealing the

record;

(3) A substantial probability exists that the overriding

interest will be prejudiced if the record is not sealed;

(4) The proposed sealing is narrowly tailored;

and

(5) No less restrictive means exist to achieve

the overriding interest.

(Bold emphasis added.)

CRC Rule 2.550(e)

provides:

(1) An order

sealing the record must:

(A) Specifically state the facts that support the

findings;

(B) Direct the sealing of only those documents and

pages, or, if reasonably practicable, portions of those documents and pages, that

contain the material that needs to be placed under seal. All other portions of each

document or page must be included in the public file.

“A request to seal a document must be

filed publicly and separately from the object of the request. It must be supported by a factual declaration

or affidavit explaining the particular needs of the case.” (In re Marriage of Lechowick (1998) 65 Cal.App.4th

1406, 1416 [bold emphasis and underlining added]).)

“Unless confidentiality is required by

law, court records are presumed to be open.” CRC Rule

2.550(c)(bold emphasis and underlining added).

“The trial court

cannot rely solely on an agreement or stipulation of the parties as the basis for

permitting records to be filed under seal. (Citations omitted.)” (Savaglio v. Wal-Mart Stores, Inc. (2007)

149 Cal.App.4th 588, 600 [bold emphasis and underlining added]).)

Moving party must demonstrate by way of a factual

declaration or affidavit that all of the CRC Rule 2.550(d)

requirements for sealing have been met.

(1) There exists an overriding interest that overcomes the right of public

access to the record;

The HOA Defendants

have submitted the Declaration of Jeanne McDonald in support of their motion for

an order requiring security that attaches three exhibits. Each exhibit is a communication

between the HOA and its members concerning a purported incident that occurred on

September 29, 2022. Two of the letters

also include personal contact information for certain members.

Defendants argue that Paragraph 24 of

the HOA's Rules and Regulations specifically provides that: "Communications between Owners and the Board (and vice versa) shall be considered confidential unless specifically noted otherwise." (Complaint, Ex. A, Rules and Regulations at ¶ 24.)

The right of privacy protects against the unwarranted, compelled disclosure of private or personal information and "extends to one's confidential financial affairs as well as to the details of one's personal life." (Ibid.) "Personal financial information comes within the zone of privacy protected by article I, section 1 of the California Constitution." (Citations omitted.)

(SCC Acquisitions,

Inc. v. Superior Court (2015)

243 Cal.App.4th 741, 754-55.)

"Although corporations have a lesser right to privacy than human beings and are not entitled to claim a right to privacy in terms of a fundamental right, some right to privacy exists. Privacy rights accorded artificial entities are not stagnant, but depend on the circumstances. (Citation omitted.)

(Ameri-Medical Corp. v.

Workers' Comp. Appeals Bd. (1996) 42 Cal.App.4th 1260, 1287-88.)

We agree with defendant

that its contractual obligation not to disclose can constitute an overriding interest

within the meaning of rule 243.1(d). (Citations omitted.)

(Universal City Studios, Inc. v. Superior Court (2003) 110 Cal.App.4th

1273, 1283.)

In this regard, the Court

finds that a confidentiality agreement constitutes an overriding interest that overcomes

the right to public access.

Moreover, the individuals'

right of privacy constitutes an overriding interest that overcomes the right to

public access.

This requirement

is satisfied.

(2) The overriding interest supports sealing

the record;

The Court

accepts Defendants' argument that there is an overriding interest in protecting

sensitive information pertaining to alleged incidents reported to the HOA, including

the communications between the HOA and its members pertaining to such incidents,

as well as their personal contact information.

This

requirement is satisfied.

(3) A substantial probability exists that the

overriding interest will be prejudiced if the record is not sealed;

Even though moving party has identified

an overriding interest, that, by itself, is insufficient to justify a sealing order.

We have been unable to find any appellate

court decision which construes Publicker to permit

sealing of court documents merely upon the agreement of the parties without a specific

showing of serious injury. We therefore, with respect, reject defendant's broad

reading of the citation to Publicker in footnote

46 of NBC Subsidiary.

. . . [*1283]

. . . [O]nce it is established there is a potential overriding interest, the

party seeking closure or sealing must prove prejudice to that interest is substantially

probable. (Citation omitted.)

In

terms of the overriding interest requirement of a closure or sealing order, NBC Subsidiary identifies

two separate elements. The first element requires the identification of an overriding

interest. (Citations omitted.) Defendant

has identified such a potential overriding interest—a binding contractual agreement

not to disclose. The second element

of the overriding interest analysis is there must be a substantial probability that

it will be prejudiced absent closure or sealing. (Citations omitted) As

we will note, defendant has not shown a substantial

probability any such interest in the present case will be prejudiced—the second

element of overriding interest analysis identified in NBC Subsidiary.

This analysis has now been promulgated by the Judicial Council as one of the findings

that must be returned before a sealing order can be entered. (Rule 243.1(d)(3) [“A

substantial probability exists that the overriding interest will be prejudiced if

the record is not sealed”].)

(Universal City Studios, Inc., *supra*,

110 Cal.App.4th at 1282-83 [bold emphasis and underlining added].)

Defendants argue

that the public disclosure of such information would almost certainly have a chilling

effect on the willingness of the HOA's members to openly communicate with the HOA

concerning such incidents, or provide information concerning incidents in the future

if they felt the information would not be kept confidential. In addition, the public

disclosure of such information would also likely have an adverse impact on the HOA's

members, if communications which they have been informed by the HOA's Rules and

Regulations would remain confidential are made public.

The Declaration

of Aaron P. Rudin contains only conclusions in this regard, but the memorandum of points and authorities sets forth a factual basis for the Court to accept Plaintiff's characterization of the substantial probability that the overriding interest will be prejudiced if the record is not sealed.

The Court finds that this requirement is satisfied.

(4) The proposed sealing is narrowly tailored;

The proposed sealing is narrowly tailored, because it is limited to only portions of the three letters between the HOA and its members reflecting the content of the communications and member contact information.

This requirement is satisfied.

(5) No less restrictive means exist to achieve the overriding interest.

It appears that redaction of sensitive/personally identifying information, or removing references to non-essential sensitive/personally identifying information, is possible, but redaction of the gist of the discussion of incidents would not be practical.

This requirement is satisfied.

As

such, the Court finds that moving Defendants have satisfied the requirements set

forth in CRC Rule

2.550(d). The motion to seal is GRANTED.

Motion For An Order Requiring

Security Pursuant to Corp. Code § 800(c).

The Court has

reviewed the moving, opposing, and reply briefs filed by the parties. The Court only addresses the points which the

Court deems to be material to the disposition of this motion.

Defendants Laurel Villas Condominium Owners Association,

Barry Frediani, Jose Ramos and Nichole Oeuvray move for an order requiring Plaintiff

to post a security bond pursuant to Corp. Code § 800(c).

Corp.

Code § 800 provides:

(a) As used in this section,

“corporation” includes an unincorporated association; “board” includes the managing

body of an unincorporated association; “shareholder” includes a member of an unincorporated

association; and “shares” includes memberships in an unincorporated association.

(b) No action may be

instituted or maintained in right of any domestic or foreign corporation

by any holder of shares or of voting trust certificates of the corporation unless

both of the following conditions exist:

(1) The plaintiff alleges

in the complaint that plaintiff was a shareholder, of record or beneficially, or the holder of voting trust certificates at the time of the transaction or any part thereof of which plaintiff complains or that plaintiff's shares or voting trust certificates thereafter devolved upon plaintiff by operation of law from a holder who was a holder at the time of the transaction or any part thereof complained of; provided, that any shareholder who does not meet these requirements may nevertheless be allowed in the discretion of the court to maintain the action on a preliminary showing to and determination by the court, by motion and after a hearing, at which the court shall consider such evidence, by affidavit or testimony, as it deems material, that (i) there is a strong prima facie case in favor of the claim asserted on behalf of the corporation, (ii) no other similar action has been or is likely to be instituted, (iii) the plaintiff acquired the shares before there was disclosure to the public or to the plaintiff of the wrongdoing of which plaintiff complains, (iv) unless the action can be maintained the defendant may retain a gain derived from defendant's willful breach of a fiduciary duty, and (v) the requested relief will not result in unjust enrichment of the corporation or any shareholder of the corporation; and

(2) The plaintiff alleges

in the complaint with particularity plaintiff's efforts to secure from the board

such action as plaintiff desires, or the reasons for not making such effort, and alleges further that plaintiff has either informed the corporation or the board in writing of the ultimate facts of each cause of action against each defendant or delivered to the corporation or the board a true copy of the complaint which plaintiff proposes to file.

(c) In any action referred

to in subdivision (b), at any time within 30 days after service of summons upon the corporation or upon any defendant who is an officer or director of the corporation, or held such office at the time of the acts complained of, the corporation or the defendant may move the court for an order, upon notice and hearing, requiring the plaintiff to furnish a bond as hereinafter provided. The motion shall be based upon one or both of the following grounds:

(1) That there is no

reasonable possibility that the prosecution of the cause of action alleged in the complaint against the moving party will benefit the corporation or its shareholders.

(2) That the moving

party, if other than the corporation, did not participate in the transaction complained of in any capacity.

The court on application

of the corporation or any defendant may, for good cause shown, extend the 30-day

period for an additional period or periods not exceeding 60 days.

(d) At the hearing upon

any motion pursuant to subdivision (c), the court shall consider such evidence,

written or oral, by witnesses or affidavit, as may be material (1) to the ground

or grounds upon which the motion is based, or (2) to a determination of the probable

reasonable expenses, including attorneys' fees, of the corporation and the moving

party which will be incurred in the defense of the action. If the court determines,

after hearing the evidence adduced by the parties, that the moving party has established

a probability in support of any of the grounds upon which the motion is based, the

court shall fix the amount of the bond, not to exceed fifty thousand dollars (\$50,000),

to be furnished by the plaintiff for reasonable expenses, including attorneys' fees,

which may be incurred by the moving party and the corporation in connection with

the action, including expenses for which the corporation may become liable pursuant

to Section 317. A ruling by the court on the motion shall not be a determination

of any issue in the action or of the merits thereof. If the court, upon the motion,

makes a determination that a bond shall be furnished by the plaintiff as to any

one or more defendants, the action shall be dismissed as to the defendant or defendants,

unless the bond required by the court has been furnished within such reasonable

time as may be fixed by the court.

(e) If the plaintiff shall,

either before or after a motion is made pursuant to subdivision (c), or any order or determination pursuant to the motion, furnish a bond in the aggregate amount of fifty thousand dollars (\$50,000) to secure the reasonable expenses of the parties entitled to make the motion, the plaintiff has complied with the requirements of this section and with any order for a bond theretofore made, and any such motion then pending shall be dismissed and no further or additional bond shall be required.

(f) If a motion is filed

pursuant to subdivision (c), no pleadings need be filed by the corporation or any other defendant and the prosecution of the action shall be stayed until 10 days after the motion has been disposed of.

(Corp. Code § 800 [bold emphasis and underlining added].)

Defendants

argue that this is an improper derivative action because the gravamen of Plaintiff's

Complaint is for injunctive relief and enforcement of the defendant Laurel Villas

Condominium Owners Association's (the "HOA's") Governing Documents for the benefit

of all its members. Defendants argues that there is no reasonable possibility that

Plaintiff's prosecution of this improper derivative action will benefit the HOA

or its members. As a result, pursuant to Corporation Code section 800(d), Plaintiff

should be required to post a \$50,000.00 bond.

Defendants also argue that Plaintiff

has failed to meet the pleading requirements set forth in Corp. Code § 800(b)(2).

However, as this Court has ruled in connection with Defendant

HOA Premier Management LLC's demurrer, Plaintiff need not allege compliance

with Corporations Code Section 800(b)(2).

Defendants argue that there is also

no reasonable possibility that Plaintiff's prosecution of this action will benefit

the HOA or its members because Plaintiffs' claims are all meritless. Plaintiff's

claims arise out of three separate incidents. The first occurred in September 2019,

more than six years before the Complaint was filed, such that the claims arising

from that incident are time barred. Second, Plaintiff alleges that after an incident

in September 2022, the HOA Defendants did not take any steps to enforce the Governing

Documents. To the contrary, the HOA Defendants issued a warning letter to Ms. Nissinen

pursuant to the Governing Documents concerning the September 2022 incident. Plaintiff

was informed that the warning letter had been issued and advised to provide any

further information she wished to share to counsel for the HOA. However, Plaintiff

did not provide further information to counsel for the HOA. Finally, Plaintiff alleges

that in September 2024 an incident occurred "in front" of the HOA's property, not

on the HOA's premises or common areas. The Governing Documents do not govern public

interactions between members that occur outside of the HOA's property.

Plaintiff argues that this action is

primarily individual, seeking recovery for personal injury, property damage, and emotional distress unique to Plaintiff—not a derivative action seeking corporate redress. Plaintiff was physically assaulted in her own home, her property was destroyed, her minor children were threatened, and she lost the use and enjoyment of her residence due to the HOA's failure to protect her from a known dangerous resident. These individualized injuries are not shared equally among all HOA members.

Plaintiff

also argues that, under California law, governing documents of an HOA, including the declaration of covenants, conditions, and restrictions (CC&Rs), are enforceable by both the association and individual homeowners. (Civil Code §5975.)

Court's

Analysis

For

the reasons discussed above re: Defendant HOA Premier

Management LLC's demurrer, the Court agrees with Plaintiff that her claims sound in individual injury, not injury to all HOA members, and thus is not derivative.

Moreover,

as noted by Plaintiff, Civil Code § 5975 provides:

(a) The covenants and restrictions in the declaration shall

be enforceable equitable servitudes, unless unreasonable, and shall inure

to the benefit of and bind all owners of separate interests in the development.

Unless the declaration states otherwise, these servitudes may be enforced by

any owner of a separate interest or by the association, or

by both.

(b) A governing document other than the declaration

may be enforced by the association against an owner of a separate interest or

by an owner of a separate interest against the association.

(c) In an action to enforce the governing documents, the prevailing

party shall be awarded reasonable attorney's fees and costs.

(Civ. Code § 5975 [bold emphasis and underlining added].)

Plaintiff refers

to the Covenant, Conditions and Restrictions ("CC&Rs"), Bylaws and Rules and

Regulations of Defendant Laurel Villas as the "Governing Documents." (Complaint,

¶ 2; Exhs. A (CC&Rs; Bylaws; and Rules and Regulations.) Pursuant to Civil Code

5975(a) & (b), as an owner of a separate interest in the development, Plaintiff

has standing to assert a directed action to enforce the covenants and restrictions

in the declaration and other governing documents. (Civ. Code § 5975(a) & (b).)

In the Reply,

Defendants emphasize that *Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 124,

bars Plaintiff's claim because she is a member of the HOA and the injury did not

arise from some special duty owed to Plaintiff independent of her status as a member.

However, the

language of Nelson does not support Defendants' position in the circumstances

alleged:

Her cause of action was individual, she

argues, because she suffered injury to her reputation and emotional distress, and

lost her out-of-pocket expenses, as well as other employment opportunities.

The test is not whether Nelson's damages

were unique, as Nelson's argument suggests; an individual cause of action exists

only if the damages were not incidental to an injury to the corporation.

(Citation omitted.) The cause of action is individual, not derivative, only "where

it appears that the injury resulted from the violation of some special duty owed

the stockholder by the wrongdoer and having its origin in circumstances independent

of the plaintiff's status as a shareholder." (Citation omitted.)

In other words, it is the gravamen of the

wrong alleged in the pleadings, not simply the resulting injury, which determines

whether an individual action lies. While we agree that in some cases, the same facts

regarding injury to the corporation may underlie a personal cause of action, such

as intentional infliction of emotional distress, breach of contract, fraud, or defamation,

Nelson has not alleged or proved the elements of any such cause of action. (Citation

omitted.)

(Nelson v. Anderson (1999) 72 Cal. App. 4th 111, 124-25 [*italics in original*,

bold emphasis and underlining added].)

Here, Plaintiff

is not complaining of an injury to the HOA or to other members. Indeed, she claims

that the HOA owes a special duty to Plaintiff as a member to protect her from being

personally harassed and physically attacked by Nissinen. See, e.g., Complaint ¶¶

39 – 42, alleging that the Governing Documents impose a duty to exercise due care

for the safety of the members and residents of Laurel Villas, which include Plaintiff.

For purposes of her personal safety in light of the threat posed by Nissinen, Plaintiff's

status as a resident of Laurel is sufficiently independent of her status as a member

of the HOA.

Indeed, it is

hard to discern what injury the HOA has suffered as a result of its failure to take

steps to ensure Plaintiff's personal safety vis-à-vis Nissinen, as alleged in ¶

44:

44. As a proximate result of Defendants'

breach of duties and violations of the law, Plaintiff has suffered injury to her

right and benefits of being a member of Laurel Villas, including the loss of

the use and enjoyment of her home, humiliation, embarrassment, injury to reputation,

general fear for her personal health, safety, and welfare for Plaintiff and her family, invited guests, invitees, and visitors, worry, concern, and insecurity caused by Plaintiffs perception of risk with respect to Plaintiffs home as a financial investment, severe mental and emotional distress, and reasonable attorneys' fees and costs, in an amount to be proven at trial.

(Complaint, ¶ 44 [bold emphasis added].)

Because

the Court has determined that Plaintiff's claims are direct, not derivative, the Court need not and does not address whether there is no reasonable possibility that the prosecution of the causes of action against the moving party will benefit the corporation or its shareholders (Corp. Code § 800(c)(1)), as Corp. Code § 800(c) only applies to derivative claims, i.e., "[i]n any action referred to in subdivision (b)."

The motion for an order requiring Plaintiff to post a security bond pursuant to Corp. Code § 800(c) is DENIED.